Athirai and Murugan. He was thus a mine of critical information. But he wouldn't admit to anything. Once again, Kaarthikeyan's connections came in handy. The CBI's lawyers managed to get Shanmugham's petition for anticipatory bail rejected in the Madras High Court.

The SIT made his arrest official, produced him before the magistrate and took him into custody. Then they flew him to Vedaranyam in a chopper. With no other option left for him, Shanmugham started cooperating. He disclosed that the LTTE had stashed a large number of transmitters for communication, explosives, arms and ammunition under the forest floor in Kodiakkarai. He claimed to know the exact spots where the LTTE's possessions were buried—in deep pits dug by his own men. He revealed there were hideouts in the coastal town where LTTE cadres would stay upon arrival and before departure to Jaffna. He had been providing them lodging and boarding. He confirmed Mahalingam's claim about the arrival of nine members of the hit squad on 1 May and that the squad included Sivarasan, Shubha and Dhanu. But he firmly denied his presence at the time of their arrival. He said he hadn't received Sivarasan in person. He spoke freely and did not look under pressure when he reiterated that he had never met Sivarasan. Verma asked Ragothaman to get Koneswaran. He was sure he would negate Shanmugham's claims. Smuggler Shankar, caught earlier, was junior to Shanmugham and had testified that Shanmugham was close to both Sivarasan and Murugan.

But the smuggler changed his statement with a smile the moment Verma divulged Koneswaran's and Murugan's testimony on Shanmugham's relationship with Sivarasan. He admitted that Murugan had kept a bag with him, which contained material that could become clinching evidence in the case. Shanmugham said he would hand it over to the interrogators. He also said he would guide the SIT to the forests of Vedaranyam, where the LTTE had hidden arms and ammunition.

At the behest of the SIT, the Tamil Nadu Police set up a large team to raid Vedaranyam. Aware of Shanmugham's clout in the region, the police knew resistance could come from some locals who worked for him and owed their livelihood to him. Also, his arrest had ruffled many feathers. He